

What you can buy (in no particular order)

1. A standalone house, on its own title, with transport access to the city

Must have: A train line with direct access to the city.

Why: Records show that land appreciates, or grows, in value more than apartments. Proximity to transport options ensures the cheapest possible travel costs and easy access to jobs.

This purchase ties to your ‘exit strategy’: when it’s time to sell and move to your second property. It is wise to consider this next step when buying a first home. You likely won’t live there forever and, like a true property aficionado, it’s important for you to think ahead to resale.

Domain data scientist Dr Nicola Powell says the maths to consider when deciding between buying a house and an apartment is that:

Houses tend to command better long-term capital growth; as an owner-occupier this is the ideal scenario. Capital growth equals greater equity in the long run, which will help a leg-up on the property ladder at a later date. It is the land component of a house purchase that boosts the long-term capital growth, and generally the building component that depreciates over time.

So, the home itself, as it ages, lessens in value – unless you renovate. But the land the house sits on gets more valuable over time, regardless. Supply and demand aids price rises, as we simply cannot conjure more blocks of land in sought-after suburbs.

Just as budgeting sets up good financial habits for a lifetime, so too should your first property purchase be made with future security – and ease